GOVERNMENT OF ANDHRA PRADESH

AGRICULTURE & COOPERATION DEPARTMENT
YSR FREE CROP INSURANCE SCHEME (YSR UCHITHA PANTA BIMA)

1. Executive Declaration & Scheme Rationale

The YSR Free Crop Insurance Scheme is an unprecedented 100% state-subsidised agricultural risk-mitigation system designed to relieve farmers from premium payment burdens. Under this program, the farmer pays only a nominal token registration fee of Re. 1/-, while the Government of Andhra Pradesh fully absorbs both the farmer's statutory premium share and state co-sharing liabilities under PMFBY/WBCIS, anchoring seamless universal coverage through mandatory e-Crop booking.

Historically, small and marginal farmers faced high dropout rates due to cumbersome premium deductions by banks and steep premium costs for commercial crops. The state restructured crop insurance into a universal safety net focusing on zero financial burden, universal auto-enrollment via e-Crop (removing reliance on commercial banks), and the absolute inclusion of genuine tenant farmers holding registered Crop Cultivator Rights Cards (CCRC).

2. Financial Architecture & Premium Absorption Mechanism

The financial structure guarantees complete risk indemnity across both major agricultural seasons. The breakdown of premium responsibility is governed as follows:

- **Kharif Food & Oilseeds (Paddy, Groundnut, Cotton, Pulses):** The standard PMFBY farmer share of 2.0% is completely absorbed by the State Government, requiring only a Re. 1 token from the farmer. Claims are settled via Direct Benefit Transfer (DBT).
- **Rabi Food & Oilseeds (Bengalgram, Maize, Jowar):** The standard 1.5% farmer share is entirely absorbed by the state exchequer, again requiring only a Re. 1 token. DBT settlement occurs without third-party bank loan diversion.
- **Annual Commercial & Horticulture (Chilli, Sugarcane, Banana, Turmeric):** The steep 5.0% premium share typically borne by farmers is fully covered by the State Government. Loss indemnification is based on threshold yield deficit analysis.

3. Risk Coverage & Calamity Protection Spectrum

The scheme provides end-to-end multi-peril risk coverage across the entire agricultural lifecycle:

- **Prevented Sowing/Planting Risk:** Up to 25% of sum insured paid if adverse seasonal rainfall or extreme weather prevents sowing over more than 75% of the notified area.
- **Mid-Season Adversity:** Immediate relief provided if severe drought, dry spells, or floods cause crop damages exceeding 50% prior to final harvesting.
- **Localized Calamities:** Individual farm-level assessment for specific localized risks including hailstorms, landslides, inundation, and cloudbursts within 72 hours of occurrence.
- **Post-Harvest Losses:** Coverage up to a maximum period of two weeks (14 days) for crops kept in 'cut and spread' condition in the field for drying against unseasonal cyclone rainfall.
- **Weather-Based Triggers:** Applies parametric triggers capturing deficit rainfall, prolonged dry spells, high temperature anomalies, unseasonal high humidity, and gale winds recorded at automated stations.

4. Comprehensive Eligibility Criteria

- **Domicile & Cultivator Status:** Permanent resident of Andhra Pradesh. Covers Owner-Cultivators, Tenant Farmers, Sharecroppers, and tribal farmers cultivating assigned forest lands.
- **Loanee and Non-Loanee Parity:** Both loanee and non-loanee farmers enjoy equal status without discrimination.
- **Mandatory e-Crop Booking:** The crop cultivated in the designated survey number must be geo-tagged and entered into the state's e-Panta (e-Crop) database.
- **Active Aadhaar-NPCI Seeded Account:** The farmer must maintain an operational single bank account linked to Aadhaar with NPCI mapping enabled for direct transfers.

5. Documentation & Verification Checklist

- **Aadhaar Card:** Required for UIDAI identity verification and biometric e-KYC authentication.
- **Pattadar Passbook / 1-B Adangal:** Revenue record establishing survey number ownership (for landowners).
- **CCRC Agreement Card:** Crop Cultivator Rights Card valid for 1 year (for tenant farmers).
- **e-Crop Booking Receipt:** Physical digital acknowledgment generated by the local RBK kiosk.
- **NPCI Seeded Bank Passbook:** Verified to ensure direct credit without mediator involvement.

6. Operational Implementation & Claim Settlement Pipeline

The scheme follows a transparent 5-stage paperless administrative workflow:

- **Step 1 (Ground-Level Crop Booking):** Village Agriculture/Horticulture Assistants conduct physical field surveys, capturing crop photographs, survey numbers, and GPS coordinates.
- **Step 2 (Biometric e-KYC Verification):** Farmer completes biometric authentication at the Rythu Bharosa Kendra (RBK) or via the Karshak mobile app.
- **Step 3 (Social Audit & Display of Lists):** Preliminary lists of enrolled farmers are displayed at Village Secretariats for public verification and objection filing.
- **Step 4 (Yield Loss Determination):** Crop Cutting Experiments (CCEs) determine actual yields; if they fall below the historic threshold, claims trigger automatically.
- **Step 5 (Direct Benefit Transfer):** Calculated compensation is transferred directly to the farmer's bank account with zero interference from middlemen.

7. Public Portals, Helplines & Grievance Redressal

- **e-Crop Public Portal:** karshak.ap.gov.in / apagrisnet.gov.in
- **National Crop Insurance Portal:** pmfby.gov.in
- **Farmer Welfare Toll-Free Call Centre:** 155251
- **CM Office Public Grievance Helpline:** 1902
- **Local Village Touchpoint:** Rythu Bharosa Kendra (RBK) / Village Agriculture Assistant (VAA) at the Grama Sachivalayam.